

**PERSISTENT
STABILITY**

**INTERIM
FINANCIAL
STATEMENTS**

31 MARCH 2022

ARPICO
Insurance

10TH YEAR ANNIVERSARY

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 31 March

		Three Months Ended 31 March 2022 Unaudited	Three Months Ended 31 March 2021 Unaudited
	Note	Rs	Rs
Revenue		684,615,891	827,815,502
Gross written premium	3	608,876,917	786,649,069
Premium ceded to reinsurers	3	(10,094,950)	(36,169,821)
Net written premium		598,781,967	750,479,248
Other revenue			
Fee and commission income	3	8,563,477	11,840,702
Income from investments	5	74,402,638	63,675,706
Realise gain	3	1,479,427	-
Other income	3	1,388,382	1,819,845
Total other revenue		85,833,924	77,336,254
Net income		684,615,891	827,815,502
Net insurance benefits and claims paid		(152,905,634)	(154,460,436)
Underwriting and net acquisition costs		(166,508,677)	(262,503,750)
Change in contract liabilities - life fund		(86,750,515)	(196,432,857)
Other operating and administrative expenses		(252,055,269)	(190,567,500)
Net benefits and claims		(658,220,094)	(810,946,040)
Profit/(Loss) before tax		26,395,797	16,869,461
Income tax expense		-	-
Profit/(Loss) for the period		26,395,797	16,869,461

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 March

	Three Months Ended 31 March 2022 Unaudited Rs	Three Months Ended 31 March 2021 Unaudited Rs
Profit / (Loss) for the year	26,395,797	16,869,461
Other comprehensive income		
Other comprehensive income to be reclassified to profit or loss in subsequent periods		
Net change in fair value of available-for-sale assets	(69,564,024)	845,355
Fair value movement of AFS reserve transferred to life fund	25,768,511	(845,355)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods		
Re-measurement gain on defined benefit plan	-	-
Other comprehensive income	<u>(43,795,513)</u>	<u>-</u>
Total comprehensive income for the period	<u><u>(17,399,716)</u></u>	<u><u>16,869,461</u></u>

Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 31 March 2022

		31-Mar-22	31-Dec-21
		Unaudited	Audited
Assets	Notes	Rs.	Rs.
Property, plant and equipment		59,257,562	57,691,938
Right of use asset	7	122,942,932	129,675,417
Intangible asset		522,131	586,844
Financial assets	8	3,526,564,046	3,470,094,773
Loans to life policy holders		431,433,894	425,525,375
Reinsurance receivable		13,084,952	8,373,896
Amounts due from related party		7,036,917	12,002,002
Premium receivable		61,407,540	62,470,094
Other assets		72,050,837	62,822,687
Deferred tax asset		36,979,105	36,979,105
Cash and cash equivalents		165,288,554	150,015,184
Total assets		4,496,568,469	4,416,237,315
Equity and liabilities			
Shareholders' equity			
Stated capital		675,564,870	675,564,870
Revenue reserves		1,448,521,984	1,422,126,083
Other reserves		(70,341,163)	(26,545,650)
Total shareholders' equity		2,053,745,691	2,071,145,303
Liabilities			
Insurance provision - life	9	1,942,667,656	1,897,003,107
Employee benefit obligation		17,662,207	16,146,223
Reinsurance creditors		64,458,786	70,001,400
Lease creditors	7.3	148,150,964	157,443,360
Amounts due to related party	11	17,029,714	2,105,460
Financial liabilities		156,233,044	107,718,526
Other liabilities		96,620,408	94,673,936
Total liabilities		2,442,822,778	2,345,092,012
Total liabilities and shareholders' equity		4,496,568,469	4,416,237,315

These financial statements are prepared in compliance with the requirements of the companies Act No. 07 of 2007.



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Manager Finance
(Chathumadu Abeyakoon)

The board of directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



.....
Director
(Viville Perera)



.....
Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 13 form an integral part of these financial statements.

13/05/2022

Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Three Months Ended 31 March

	2022 Rs.	2021 Rs.
Operating activities		
Receipts from policyholders	609,939,471	784,993,107
Payment to reinsurer	(15,637,564)	(15,091,916)
Claims paid	(146,598,054)	(186,975,083)
Reinsurance receipts in respect of claims	15,637,564	-
Other operating cash payments	(384,285,888)	(441,225,676)
Cash inflow from operating activities	79,055,529	141,700,432
Tax paid	955,479	-
Net cash flows from operating activities	80,011,008	141,700,432
Investing activities		
Purchase of property and equipment	(8,268,365)	(4,158,702)
Purchase of intangible asset	-	-
Net drawdown of investments	(56,469,273)	(326,792,161)
Net cash flows used in investing activities	(64,737,638)	(330,950,863)
Financing activities		
Proceeds from share issue	-	-
Stamp duty on share allotment	-	-
Dividend payment	-	-
Net cash flows used in financing activities	-	-
Net (decrease)/increase in cash and cash equivalents	15,273,371	(189,250,431)
Cash and cash equivalents at 1 January	150,015,184	668,548,269
Cash and cash equivalents at 31 December	165,288,555	479,297,838
Analysis of cash and cash equivalents		
Favourable balances		
Cash at hand	622,897	568,025
Cash at bank	164,665,657	478,729,814
Short term investments	-	-
	165,288,555	479,297,839
Total cash and cash equivalents	165,288,555	479,297,839

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Three Months Ended 31 March

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Audited balance as at 31st December 2020	675,564,870	-	1,185,244,060	1,860,808,930
Issue of share capital	-	-	-	-
Share issue expenses	-	-	-	-
Dividend declared	-	-	-	-
Other comprehensive income	-	(26,545,650)	181,391	(26,364,259)
Net profit for the period	-	-	236,700,736	236,700,736
Audited balance as at 31 December 2021	675,564,870	(26,545,650)	1,422,126,187	2,071,145,407
Issue of share capital	-	-	-	-
Other comprehensive income	-	(43,795,513)	-	(43,795,513)
Net profit for the period	-	-	26,395,797	26,395,797
Dividend declared	-	-	-	-
Unaudited balance as at 31 March 2022	675,564,870	(70,341,163)	1,448,521,984	2,053,745,692

- Figures in the these condensed interim financial statements for the period ended 31st December 2021 are provisional and unaudited.
- The condensed interim financial statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the audited financial statements - 2020 have been followed in preparation of these condensed interim financial statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Three Months Ended 31 March Unaudited 2022 Rs	Three Months Ended 31 March Unaudited 2021 Rs	Twelve Months Ended 31 December Audited 2021 Rs	Twelve Months Ended 31 December Audited 2020 Rs
3. REVENUE					
	Notes				
Gross written premium	4(a)	608,876,917	786,649,069	2,311,632,930	1,836,100,261
Premium ceded to reinsurers	4(b)	(10,094,950)	(36,169,821)	(103,292,315)	(91,424,657)
Net written premium		598,781,967	750,479,248	2,208,340,615	1,744,675,604
Fees and commission income		8,563,477	11,840,702	45,547,057	34,222,629
Investment income		74,402,638	63,675,706	256,205,978	253,389,343
Other operating revenue		1,388,382	1,819,845	7,149,084	9,039,175
Realise gain		1,479,427	-	870,338	-
Total revenue		684,615,891	827,815,502	2,518,113,073	2,041,326,751
4. NET WRITTEN PREMIUMS					
4(a) Gross premiums on insurance contracts					
Conventional policies		608,876,917	786,649,069	2,311,632,930	1,836,100,261
Total gross written premiums		608,876,917	786,649,069	2,311,632,930	1,836,100,261
4 (b). Premiums ceded to reinsurers on insurance contracts					
Conventional policies		(10,094,950)	(36,169,821)	(103,292,315)	(91,424,657)
Total premiums ceded to reinsurers		(10,094,950)	(36,169,821)	(103,292,315)	(91,424,657)
Total net written premiums		598,781,967	750,479,248	2,208,340,615	1,744,675,604
5. INVESTMENT INCOME					
Available-for-sale financial assets					
Interest income		27,858,710	14,674,884	33,750,000	58,742,119
Loans and receivables interest income		38,277,522	49,000,822	219,909,969	194,647,224
Held to maturity-Interest income		8,266,406	-	2,546,009	-
Total investment income		74,402,638	63,675,706	256,205,978	253,389,343

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Three Months Ended 31 March Unaudited 2022 Rs	Three Months Ended 31 March Unaudited 2021 Rs	Twelve Months Ended 31 December Audited 2021 Rs	Twelve Months Ended 31 December Audited 2020 Rs
Profit /(Loss) for the year	26,395,797	16,869,461	236,700,736	200,676,238
Weighted average number of ordinary shares (Nos)	67,556,487	67,556,487	66,230,407	66,230,407
Basic earnings / (loss) per ordinary share Rs	0.39	0.25	3.57	2.28

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of

7. Initial Application of SLFRS 16 - Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases. This introduces a single, on-balance sheet lease accounting model for lessees. The standard removes the current distinction between operating and financing leases and requires recognition of an asset and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short term and low-value leases. Lessor accounting remains similar to the current standard. Lessee will be required to separately recognize the interest expense on the lease liability and depreciation expense on the right-of-use asset.

The company as a lessee has applied SLFRS 16 as initial application of 01st January 2019 using the modified retrospective approach at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis and therefore the comparative information has not been restated and continuous to be reported under LKAS 17 at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis.

	31-Mar-22 Unaudited Rs	31-Dec-21 Audited Rs
7.1 Right of use lease asset		
Opening right of use lease asset as at 01st January	129,675,416	137,336,423
Additions of right of use lease asset during the period	5,521,809	45,855,611
Net depreciation for the period	(15,134,293)	(65,197,669)
Rent payable	-	-
Advance payment for leases	2,880,000	11,681,052
Closing right of use lease asset as at 31st March	122,942,932	129,675,417
7.2 Amount recognised in statement of profit or loss		
Lease depreciation	(12,569,290)	(51,728,682)
Amortization of advance	(2,565,003)	(13,468,987)
	(15,134,293)	(65,197,669)
7.3 Lease liability (lease creditor)		
Opening lease creditor as at 01st January	157,443,360	155,319,117
Additions during the period	5,521,809	45,855,611
Finance cost recognised in profit and loss	6,331,416	23,772,003
Lease payments	(21,145,622)	(67,503,371)
Closing lease creditors as at 31st December	148,150,964	157,443,360
8. FINANCIAL ASSETS		
The Company's financial instruments are summarised by categories as follows:		
	31-Mar-22 Unaudited Rs	31-Dec-21 Audited Rs
Loans and receivables	2,473,156,849	2,624,851,025
Available-for-sale financial assets	453,835,446	544,769,901
Held to Maturity	522,221,986	224,603,509
Fair Value through profit & Loss	77,349,765	75,870,338
Total financial instruments	3,526,564,046	3,470,094,773

The following table consists of the fair values of the financial investments together with their carrying values.

		31-Mar-22 Carrying value Unaudited Rs	31-Mar-22 Fair value Unaudited Rs	31-Dec-21 Carrying value Audited Rs	31-Dec-21 Fair value Audited Rs
Loans and receivables	8 (a).	2,473,156,849	2,473,156,849	2,624,851,025	2,624,851,025
Available-for-sale financial assets	8 (b).	453,835,446	453,835,446	544,769,901	544,769,901
Held to Maturity	8 (c).	522,221,986	522,221,986	224,603,509	224,603,509
Fair Value through profit & Loss	8 (d).	77,349,765	77,349,765	75,870,338	75,870,338
Total financial instruments		3,526,564,046	3,526,564,046	3,470,094,773	3,470,094,773
8 (a). Loans and receivables				31-Mar-22 Unaudited Rs	31-Dec-21 Audited Rs
Investment in corporate debt				1,058,043,581	1,040,967,995
Investment in fixed deposit				419,978,372	412,220,600
Investment in repos				770,426,283	1,062,259,234
Investment in RPAF debt instrument				100,000,000	100,000,000
Investment in treasury bills				164,708,614	49,403,196
				2,513,156,849	2,664,851,025
Provision for impairment				(40,000,000)	(40,000,000)
				2,473,156,849	2,624,851,025
8 (b). Available for sale financial assets				31-Mar-22 Unaudited Rs	31-Dec-21 Audited Rs
Investments in Government Securities -Treasury Bonds				263,715,390	310,854,332
Investment in quoted shares				190,120,056	233,915,569
				453,835,446	544,769,901
8 (c). Held to Maturity				31-Mar-22 Unaudited Rs	31-Dec-21 Audited Rs
Investments in Government Securities -Treasury Bonds				522,221,986	224,603,509
				522,221,986	224,603,509
8 (d). Fair Value Through Profit & Loss				31-Dec-21 Unaudited Rs	31-Dec-21 Audited Rs
Investment in Unit Trust				77,349,765	75,870,338
				77,349,765	75,870,338

9. INSURANCE CONTRACT LIABILITIES		31-Mar-21 Unaudited Rs	31-Dec-21 Audited Rs
Balance as at beginning		1,897,003,107	1,904,914,105
Change in contract liabilities life fund			
Increase in life insurance fund before surplus transfer	9 (a)	86,750,515	326,446,805
Surplus transferred from share holders		-	(267,503,325)
Increase in life insurance fund		86,750,515	58,943,480
Movement in AFS reserve transferred to life fund		(41,085,967)	(66,854,478)
Balance as at end of the period		1,942,667,656	1,897,003,107

9 (a) Increase in life insurance fund before surplus transfer

	2022 March (Unaudited)		
	Gross Insurance Contract Liabilities	Reinsurance on Insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	608,876,917	(10,094,950)	598,781,967
Liabilities paid for death, benefits and claims	(173,254,254)	20,348,620	(152,905,634)
Underwriting and net acquisition costs	(166,508,677)		(166,508,677)
Fees (deducted)/received	9,951,859		9,951,859
Investment return	49,205,955		49,205,955
Other operating and administrative expenses	(251,774,956)		(251,774,956)
As at 31 March 2022	76,496,844	10,253,671	86,750,515

	2021 March (Audited)		
	Gross Insurance Contract Liabilities	Reinsurance on insurance contract liabilities	Net Insurance Contract Liabilities
	Rs	Rs	Rs
Premiums received	2,311,632,930	(103,292,315)	2,208,340,615
Liabilities paid for death, benefits and claims	(667,251,338)	62,945,365	(604,305,973)
Underwriting and net acquisition costs	(753,929,519)	-	(753,929,519)
Fees (deducted)/received	52,696,141	-	52,696,141
Investment return	186,654,120	-	186,654,120
Other operating and administrative expenses	(763,008,579)	-	(763,008,579)
As at 31 March 2021	366,793,755	(40,346,950)	326,446,805

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant actuaries for the year ended 31st December 2021 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2021 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consulatant M/S Acturial Partners. Based on that valuation,the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

10. TAXATION AND DEFERRED TAX

Arpico Insurance PLC is liable for income tax at 24%

Deferred taxation

Deferred tax assets

Deferred tax asset

31-Mar-21
Unaudited
Rs

31-Dec-21
Audited
Rs

36,979,105

36,979,105

36,979,105

36,979,105

Statement of Financial Position				Profit or Loss	
2022		2021		2022	2021
Rs Unaudited	Rs Unaudited	Rs. Audited	Rs. Audited	Rs Unaudited	Rs. Audited
Temporary Difference	Tax Effect Assets/(Liability)	Temporary Difference	Tax Effect Assets/(Liability)	Change in Deferred Tax Assets/(Liability)	Change in Deferred Tax Assets/(Liability)
154,079,604	36,979,105	154,079,604	36,979,105	-	(100,680,805)
154,079,604	36,979,105	154,079,604	36,979,105	-	(100,680,805)

Income tax rates of corporates has been revised to 24% from 28% as per the notice to tax payers and withholding agents on "implementation of proposed changes to the Inland Revenue Act No.24 of 2017 dated 12 February 2020.CA Srilanka guideline dated 23 April 2021 stated that financial statements having a period end after 26 March 2021 should use such proposed tax rules and rates in the bill for determination of current tax and deferred tax.

Deferred taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly a deferred tax asset has been recognized amounting to Rs. 30 Mn.

11. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Mar-22 Rs	31-Dec-21 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	11,577,879	-
Richard Pieris Distributors Limited	Affiliate	5,096,223	1,749,847
Arpitech (Pvt) Ltd	Affiliate	176,138	179,475
Arpico Interiors (Pvt) Ltd	Affiliate	179,475	176,138
		17,029,714	2,105,460

12. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position.As at the 31st December 2021 ,end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

13. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate.There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Three months Ended 31 March 2022

Share Information

Top 20 Shareholders

<u>Name of the Shareholder</u>	As at 31st March 2022	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	22.84
4 MR.J.P.PAUL	929,684	1.40
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.S.SIVASHANTH	550,000	0.83
7 MR.U.L.B.ARIYARATNA	500,000	0.75
8 MYLAND DEVELOPMENTS (PVT) LTD	362,999	0.55
9 MR.S.MOHANADAS SUBRAMANIAM	330,000	0.50
10 MR.A.P.ARUMUGAMPILLAI ANNAMALAI PILLAI	200,000	0.30
11 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	135,261	0.20
12 MR.T.A.N.GOMIS	130,957	0.20
13 MRS.N.K.SAMARAWEEERA	113,908	0.17
14 MR.M.L.A.BENEDICT	113,108	0.17
15 MR.D.P.NAVARATNAM	105,000	0.16
16 MR.S.A.OBEYESEKERE	103,300	0.16
17 TRADING PARTNERS (PVT) LTD	100,000	0.15
18 MR.S.A.U.L.JAYARATHNA	100,000	0.15
19 FLYBRUNEI SDN BHD	99,700	0.15
20 T R L HOLDINGS (PVT) LIMITED	87,910	0.13
	<u>64,230,229</u>	<u>96.97</u>

Public shareholding

	As at 31st March 2022	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of shares	<u>6,630,404</u>	<u>10.01%</u>
Float adjusted market capitalization		113,379,908
	As at 31st March 2022	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of shareholders	<u>749</u>	<u>99.47%</u>

Directors' shareholdings

There is no share holding by the directors as at 31st March 2022

Number of Shares

No. of shares representing the stated capital	66,230,407
Class of share	Ordinary
Voting rights	One vote per Ordinary Share

Share performance

Net asset value per share as at 31st March 2022	30.7
Highest price per share for the interim period	17.3
Lowest price per share for the interim period	15.0
Last traded price per share as at 31st March 2022	17.1